

Rs 100, and Rs 2 from that is cut out so that Rs 98 is invested, the Rs 2 is called a load.

A load is part of the price of the product, or is embedded in the price – it is an invisible charge because it is not usually disclosed. Mutual funds have zero loads and are an extremely investor-friendly product. The question to ask when buying a market-linked investment product is: How much of the money I invest goes to work?

Two, an ongoing cost or the annual fees that you need to pay to have experts manage your money. To take care of the running costs and profits of investment managers each year, some fees are deducted from your money. The cost to you of handing over your money to professionals is captured in a number called the 'expense ratio'. This is the fees that a mutual fund charges investors for its costs and the profits it makes.

The market regulator has put ceilings on how much a fund can charge you. This charge varies across fund categories. For example, a liquid fund may charge as little as 14 paise to Re 1 for every Rs 100 invested every year. Debt funds charge more, and it typically varies from 25 paise to Rs 1.5 on every Rs 100 in the scheme. Equity funds cost more and the charges range from about Rs 2 to Rs 3. These are costs for regular plans. Index funds, ETFs and direct plans cost much less. We'll discuss direct plans in a minute.

These numbers may look small but they add up to be a significant amount over the years – both for you and for the fund. For example, the difference between an expense ratio of 0.5 per cent and 1.5 per cent over a twenty-year period is huge.

If you bought an equity fund and got a twenty-year annual pre-cost return of 15 per cent a year, the fund with the lower expense ratio will get you a net return of 14.5 per cent, and the higher expense ratio will give you 13.5 per cent. What difference does that make? If you had Rs 1 lakh invested in both, one scheme will give you Rs 15 lakhs, and the other will give you Rs 12.58 lakhs. Costs matter. Do look at the expense ratios of the funds you buy.

Three, an exit cost, or the cost of selling the product. To take care of expenses of selling the investment you made or to act as a deterrent to frequent churning of money, funds levy exit charges. This is a percentage of your corpus